

abroad. In addition, these funds will have corporate, government, and high yield bonds, along with some cash. In this way, you get a diversified portfolio by choosing just one investment option.

In addition to diversification, many of these programs adjust themselves for you over time. So-called lifestyle or lifecycle funds use a target date to determine how much risk the portfolio should have. For example, you might have the “XYZ 2040 Fund” as an investment option in your retirement plan. The “2040” refers to the year 2040. This fund might be used by a person planning to retire in 2040 (in other words, the year 2040 is the target date for the fund). Perhaps this is a person born in 1975, so she’ll be sixty-five years old in 2040.

These funds are managed based on the amount of time until the target date. If the year is 2010, the managers of the XYZ 2040 Fund will most likely have a high percentage of assets in stocks. As the years pass, the fund’s managers will gradually reduce risk by adding bonds and cash. The investor (you) does not have to spend time and energy making these adjustments.

ESOPs

ESOPs give you an opportunity to own stock in the company that employs you. These plans can be a great benefit, but there’s one very important caveat: don’t put all your eggs in one basket. Thousands of employees who did so have lost their entire retirement fund when their employer’s stock lost value due to corruption or shaky accounting practices that hid serious financial problems. If company stock is the only option available to you in your 401(k) plan, look at other investment vehicles for some of your retirement savings.

Consider a worst-case scenario for people who invest heavily in company stock. If something bad happens to the company, it’s likely that the stock price will fall. In addition, your job could be in jeopardy—if there are layoffs or if the working environment becomes unbearable. In this case you suffer a double whammy: your retirement savings take a hit at the same time as your income.

Annuities